

HOUSE No. 1250

The Commonwealth of Massachusetts

PRESENTED BY:

Jay D. Livingstone

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act relative to greater fairness in insurance.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Jay D. Livingstone</i>	<i>8th Suffolk</i>	<i>1/15/2025</i>

HOUSE No. 1250

By Representative Livingstone of Boston, a petition (accompanied by bill, House, No. 1250) of Jay D. Livingstone relative to insurance. Financial Services.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act relative to greater fairness in insurance.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Chapter 175, of the General Laws, as appearing in the 2022 Official
2 Edition, is hereby amended by adding the following section:

3 Section 231.

4 (a) If a policy, contract, certificate, or agreement offered, issued, delivered, or renewed,
5 whether or not in Massachusetts, that provides, backs up, reinsures, or funds, in whole or in part,
6 life insurance, health insurance, annuities, accident insurance, long term care insurance, or
7 disability insurance coverage for any Massachusetts resident contains a provision that reserves
8 discretionary authority to the insurer, or an agent of the insurer, to determine eligibility for
9 benefits or coverage, to interpret the terms of the policy, contract, certificate, or agreement, or to
10 provide standards of interpretation or review that are inconsistent with the laws of this state, that
11 provision is void and unenforceable.

(b) For purposes of this section, "renewed" means continued in force on or after the policy's anniversary date.

(c) For purposes of this section, the term "discretionary authority" means a policy provision that has the effect of conferring discretion on an insurer or other claim administrator to determine entitlement to benefits or interpret policy language that, in turn, could lead to a deferential standard of review by any reviewing court.

(d) Nothing in this section prohibits an insurer from including a provision in a contract that informs an insured that as part of its routine operations the insurer applies the terms of its contracts for making decisions, including making determinations regarding eligibility, receipt of benefits and claims, or explaining policies, procedures, and processes, so long as the provision could not give rise to a deferential standard of review by any reviewing court.

(e) The Commissioner of Insurance ("Commissioner") shall not approve any health, life or disability policy for issuance or delivery in Massachusetts in any of the following circumstances:

If it includes a provision that reserves discretionary authority, as defined by Section 226, to the insurer, or an agent of the insurer, to determine eligibility for benefits or coverage or to interpret the terms of the policy; or if it provides standards of interpretation or review that are inconsistent with the laws of Massachusetts; or if it contains or incorporates by reference, where the incorporation is otherwise permissible, any inconsistent, ambiguous, or misleading clauses or exceptions and conditions that deceptively affect the risk purported to be assumed in the general coverage of the contract; or if it has any title, heading, or other indication of its provisions that is misleading; or if it is printed or otherwise reproduced in a manner that renders any provision of

34 the form substantially illegible; or if it fails to conform in any respect with any law of
35 Massachusetts.

36 (f) If any provision of this Section or its application to any person or circumstance is
37 held to be illegal, invalid, or unenforceable, no other provisions or applications of this Section
38 that can be given effect without the illegal, invalid or unenforceable provision or application
39 shall be affected; and to this end the provisions of this Section are severable.